Fixed Income Trade Idea: 30-October-2018

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Macro Backdrop (Deutsche Bank, late 2018)

In late 2018, the US macroeconomic environment remains supportive according to Deutsche Bank. GDP growth is running above potential, with real-time activity indicators pointing to annualized growth close to **3%.**

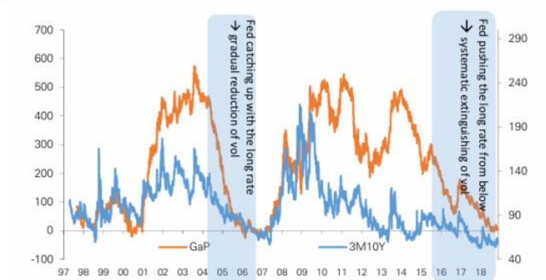
As illustrated in ***Figure 1***, the Atlanta Fed GDPNow model fluctuates mostly between 2.5% and 3.5% over 2017-2018, confirming a **resilient growth backdrop**.

The labor market remains tight, with the unemployment rate around 3.7%, while core inflation (core PCE) stabilizes close to 2.0%, broadly in line with the Federal Reserve's target. In response, the Fed continues its **gradual policy normalization**, raising the Fed Funds target range to 2.00%-2.25% by the end of 2018.

Despite these fundamentals, Deutsche Bank notes that **market pricing remains cautious**. Terminal rate expectations have been revised downward and forward rates suggest a peak policy rate only marginally above estimates of the neutral rate. This disconnects between macro fundamentals and market pricing contributes to a persistently flat yield curve.

Key concept: the policy gap

Figure 36: Policy gap as an upper bound on realized volatility



Source: Deutsche Bank

A central pillar of Deutsche Bank's rates framework is the concept of the **policy gap**, defined as the spread between long-term interest rates and short-term (shadow) policy rates. When this gap is narrow, rate volatility tends to be compressed, and curve movements remain limited.

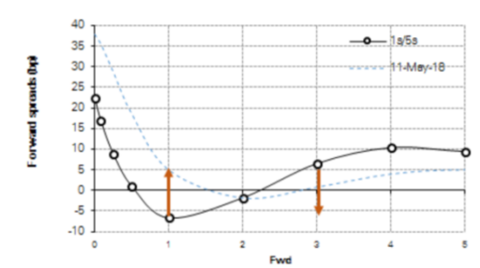
As shown in ***Figure 2***, Deutsche Bank assesses the policy gap as unusually tight in late 2018, coinciding with historically low levels of rates volatility. This configuration suggests that long-term yields do not fully compensate investors for macroeconomic, fiscal and political risks.

Deutsche Bank argues that a sustained adjustment in rates requires a reopening of the policy gap. While this could occur through lower short-term rates, the bank's baseline scenario favors a reopening via the long end of the curve, driven by a gradual normalization of the term premium. Such a move would naturally translate into a **bear steepening** of the US yield curve.

Market view

The evolution of short-term interest rates depends mainly on the Fed's decisions regarding its policy rates, while long-term rates are also influenced by the term premium. The market considers the Fed to be **too hawkish and expects a pause,** or even rate cuts within two to three years (since 2018), to move back toward the neutral rate, as illustrate in ***Figure 3***. This expectation concerns **short-term rates**, which limits their **upward movement**.

Figure 35: Forward slope: Anomaly shape and direction of normalization



Source: Deutsche Bank

Catalysts identified by Deutsche Bank

Contrary to this view, DB believes that U.S. growth remains above potential and that inflation is close to the Fed's target, which justifies monetary tightening to control growth, avoid overheating, and keep inflation around 2%.

After years of quantitative easing, the **term premium**, heavily compressed, should normalize, pushing long-term rates higher. This normalization is reinforced by:

- A **decline in foreign purchases**, due to high hedging costs (making the carry trade less attractive).
- U.S. pension funds potentially **reducing their Treasury purchases** and reallocating to equities, especially if equity markets decline.
- A **massive supply of Treasuries** driven by the U.S. fiscal deficit.
- **Geopolitical risks**: Brexit and trade tensions between the U.S. and China increase uncertainty and volatility, raising the risk premium required to hold long-dated bonds.

Even if the Fed slows down, limiting the rise in short-term rates, these structural factors cause long-term rates to rise more quickly. As a result, a **bear-steepening scenario is expected,** steepening the 5s10s curve.

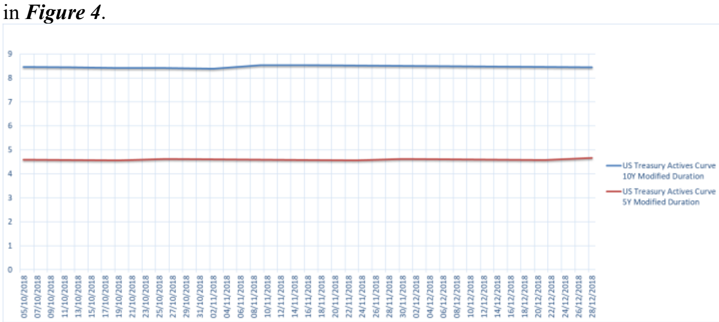
Trade idea - US 5s10s curve steepener

Strategy
Based on Deutsche Bank's late-2018 macro and rates framework, the trade consists in positioning for a bear steepening of the US yield curve, with long-term yields rising faster than intermediate maturities.

Implementation

- **Sell US Treasury 10-year**
- **Buy US Treasury 5-year**

Rationale and P&L mechanics
The economic rationale of the trade relies on the difference in rate sensitivity between the two maturities. As of late 2018, the **modified duration** of the US 10-year Treasury is approximately **8.5**, compared with around **4.8** for the US 5-year, as shown in ***Figure 4***.



Consequently, for a **+10 bp** increase in yields:

- the 10-year Treasury price declines by roughly **0.85%**,
- the 5-year Treasury price declines by approximately **0.48%**.

In a bear steepening scenario driven by a normalization of the term premium, the 10-year underperforms the 5-year, generating a **positive relative P&L**. Trade therefore benefits directly from an increase in the **5s10s slope**.

Swap-equivalent interpretation
The strategy can equivalently be expressed in the swap market as:

- **paying fixed on the USD 10-year swap**, and
- **receiving fixed on the USD 5-year swap**.

This structure is short duration on the long end and long duration on the belly. It captures the relative increase in the 10-year swap rate versus the 5-year rate. Conceptually, the trade is equivalent to a **short position in the 5x10 forward rate (FRA 5x10)**, which mechanically rises in a bear steepening environment.

Indicative levels (late 2018)

- Entry**: 5s10s slope around** 15–20 bps
- Target**: 5s10s slope around** 35–40 bps
- Expected move**:** +15 to +25 bps

Risk management
The main downside risk is a scenario in which the Federal Reserve adopts a persistently dovish stance despite stable inflation, preventing any normalization of the term premium.

Stop-loss:

- if the 5s10s slope tightens below **10 bps**, or
- if the US 10-year yield declines by more than **15 bps** without a comparable move in the 5-year.

In such a scenario, the thesis of a policy-gap reopening via the long end would be invalidated.

Principal Risks

A **bear-flattening** scenario is possible if the Fed **remains hawkish** while the market anticipates a recession: long-term yields could fall faster than intermediate maturities, reversing the logic of the trade.
A **bull steepening** driven by a **risk-off shock,** where investors seek safer assets such as Treasuries at the expense of equities due to geopolitical tensions, can trigger a sharp drop in long-term yields, resulting in losses on the short-10Y leg.

- A decline in yields may also occur during a risk-off episode, such as the **downgrade of the U.S. sovereign rating by S&P in August 2011.** This event illustrated a **flight-to-quality** dynamic (as illustrate in ***Figure 5***): despite the downgrade, investors massively shifted into Treasuries, considered safe and liquid assets, which pushed prices higher and yields lower, especially on the long end of the curve.

A **more dovish Fed** in response to tight financial conditions or persistent equity-market weakness could trigger rate-cut expectations, increasing the risk of a **bull flattening.**
The rise in the term premium depends on institutional investor flows. If these flows reverse, the **normalization could be delayed.**